TRILLIUM
UNITED ESTATE

INTERNAL DEAL MEMO

2008 BRIMLEY ROAD

Scarborough, ON · 6-Storey + Garden Suite · 29-Unit Purpose-Built Rental

PREPARED BY

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June 2026 · Status: Pre-Acquisition

Deal Summary

28-unit (revised: 29) purpose-built rental on a 1,090 m² Scarborough RD lot

2008 Brimley Road is an unentitled single-family parcel at 23.21m × 46.94m in Scarborough's Brimley corridor. The project develops a **6-storey, 27-unit main building plus a 2-unit single-storey garden suite (29 units total)** at 28,261 sf GFA, designed by Office Ou Ltd. and submitted for PAC in May 2026. The structure uses a vendor take-back ($1M VTB + $1M cash = $2M land basis) with a 12-month seller occupancy, exits via CMHC MLI Select permanent at substantial completion, and transitions to a long-term Trillium hold.

KEY DEAL METRICS

TOTAL PROJECT COST	CONSTRUCTION LOAN	STABILIZED NOI	CMHC REFI
~$13.2M	**~$9.2M**	**~$601K**	**~$10.1M**
$300/sf hard cost basis	70% LTC · 7.5% IO · 18 mo	Yr 1 market rents	DSCR 1.20× / 50 yr amort

WHAT TRILLIUM IS DOING

- **Acquiring** the unentitled land at $2M ($1M cash + $1M VTB) with 12-month seller occupancy
- **Entitling** through PAC + permit; demolition of existing 1-storey brick dwelling at construction start
- **Constructing** 28,261 sf 6-storey rental + 2-unit garden suite over 18 months
- **Refinancing** at substantial completion via CMHC MLI Select; targeting BCH 40% forgivable for optimal capital efficiency
- **Holding** long-term via Trillium Property Ownership (TPO) with phase-2 LP/GP syndication structure

Strategic context: The proforma at standard CMHC + market rents shows the project working as a long-term Trillium hold (~4.5× equity multiple over 20 yrs, ~7.5% CAGR) but with meaningful equity exposure (~$4.4M). The parallel BCH Ubuntu structure (separate Investor Package) materially improves capital efficiency by replacing Trillium equity with a BCH-stacked / forgivable-loan structure.

The Property & Design

Per Office Ou Ltd. PAC drawings (sheet ID 2026-06, May 2026)

SITE & BUILDING

Address	2008 Brimley Rd, Scarborough M1S 2B2
Zoning	RD (Residential Detached)
Lot Dimensions	23.21 m × 46.94 m
Lot Area	~1,090 m²
Main Building	6-storey, 27 units, 27,452 sf
Garden Suite	1-storey, 2 units, 810 sf
Total GFA	28,261 sf (2,625.5 m²)
Total Units	29
Architect	Office Ou Ltd.
Status	PAC submitted May 2026

UNIT MIX

Unit Type	Count	Sf	Rent/Mo
Studio	**2**	**404**	**$1,650**
1 BR	**7**	**701**	**$1,950**
1 BR + Den	**8**	**720**	**$2,200**
2 BR	**6**	**726**	**$2,500**
3 BR + Den	**6**	**1,075**	**$3,200**
TOTAL	**29**	**28,261**	**$68,750**
ANNUAL GROSS			**$825,000**

Design notes: No 4BR+D units in the actual design (prior model assumed 4×4BR+D — revised to 6×3BR+D per drawings). Garden suite adds 2 studios at the rear. Existing 1-storey brick dwelling at No. 2008 requires demolition pre-construction.

Project Costs — TPC Build-Up

28,261 sf at $300/sf hard + Trillium standard soft / contingency / financing

Category	Amount	$/Unit
Land purchase ($1M cash + $1M VTB)	**$2,000,000**	**$68,966**
LTT (ON + Toronto MLTT)	**$72,950**	**$2,516**
Closing / DD / legal	**$49,000**	**$1,690**
Demo existing dwelling	**$40,000**	**$1,379**
Land & Closing	**$2,161,950**	**$74,550**
Hard cost (28,261 sf × $300/sf)	**$8,478,300**	**$292,355**
Soft cost (12% of hard)	**$1,017,396**	**$35,083**
Contingency (5% of hard)	**$423,915**	**$14,618**
Interest reserve (8% of loan)	**$739,000**	**$25,483**
VTB carry (24 mo × 7.5%)	**$150,000**	**$5,172**
Construction buffer	**$500,000**	**$17,241**
TOTAL PROJECT COST	**$13,470,561**	**$464,502**

COST PER SF / UNIT BENCHMARKS

HARD COST
$300
per sf GFA

ALL-IN TPC
$477
per sf GFA

PER UNIT
$464K
across 29 units

LAND BASIS
$68.6K
per unit

COST ENGINEERING OPPORTUNITIES

- **$275/sf target:** reduces TPC by ~$706K; brings per-unit to ~$440K
- **Demo value engineering:** negotiate with seller for tax-deductible structure
- **Soft cost reduction:** Office Ou + standard local subs vs. boutique trades; reduce from 12% to 10%
- **Contingency tightening:** 5% standard; revisit at substantial design completion

Reference cost basis: $300/sf is conservative for Scarborough purpose-built rental (market 2026 typically $260-$320/sf). Affords ~10% margin in negotiation with general contractor.

Sources of Funds — Capital Stack

Phase 1 (TPI) financing: construction loan + VTB + LP/GP equity

PHASE 1 CAPITAL STACK

Source	Amount	% of TPC
Construction Loan (Senior debt)	**$9,235,000**	**68.6%**
VTB (Vendor — Gary Loughlin)	**$1,000,000**	**7.4%**
LP Equity (Phase 1 TPI)	**$2,235,561**	**16.6%**
GP Equity (Trillium)	**$1,000,000**	**7.4%**
TOTAL SOURCES	**$13,470,561**	**100%**

VTB STRUCTURE (SELLER)

Principal	**$1,000,000**
Rate	**7.5% accruing**
Term	**24 months**
Priority	**2nd charge on land**
Garage waiver	**$500K (Option A only)**
Payoff trigger	**CMHC refi**

CONSTRUCTION LOAN TERMS

LTC (loan-to-cost)	**68.6%**
Interest rate	**7.5% IO**
Term	**18 months**
Origination fee	**2.0% / $185K**
Draw schedule	**5 × 20% + 10% holdback**

GP FEES (TRILLIUM)

Fee	Rate	Amount
Acquisition	**2.0%**	**$40,000**
Development	**5.0%**	**$423,915**
Construction Mgmt	**3.0%**	**$254,349**
Phase 1 GP Fees		**$718,264**
Asset Mgmt (annual, post-stab)	**1.5%**	**~$360K/yr**

Phase 1 LP target: 20% annual return → 1.2× multiple in 12-18 months. Exit via CMHC refinance. Phase 1 LP capital fully returned at refi (if proceeds support it).

Phase 1 — TPI Construction & CMHC Refi Exit

Trillium Property Investor (LP/GP) waterfall through CMHC refinance

CMHC REFI SIZING (STANDARD MLI SELECT)

Stabilized NOI	**$601,400**
DSCR target (Standard)	**1.20×**
Max annual debt service	**$501,167**
Rate / amort (Standard)	**4.5% / 50 yr**
Annual factor (4.5%/50yr)	**0.04958**
DSCR-driven max loan	**$10,108,000**
Stabilized value (4% cap)	**$15,035,000**
LTV-driven max (85%)	**$12,780,000**
CMHC Loan (DSCR-driven)	**$10,108,000**

REFI CASH FLOW

CMHC permanent proceeds	**$10,108,000**
Construction loan payoff (drawn + interest)	**−$9,974,000**
VTB payoff to seller	**−$1,000,000**
Net Cash at Refi	**−$866,000**

PHASE 1 WATERFALL

Order	Recipient	$ Amount
1	Return LP capital (Phase 1)	**$2,235,561**
2	LP Preferred Return (20%, ~12 mo)	**$447,112**
3	Return GP capital	**$1,000,000**
4	GP Promote (100% of excess)	—
Total Required at Refi		**$3,682,673**
Net Proceeds Available		**−$866K**

⚠ **Standard CMHC + market rents does not fully exit Phase 1 LP.** Cash gap of ~$3.5M at refi (LP capital + pref + GP capital + 0 promote − negative refi proceeds). The deal requires LP commitment to a longer hold beyond Phase 1 OR a structural enhancement.

THREE PATHS TO CLOSE THE GAP

- **BCH 40% Forgivable Loan** — adds ~$5.6M of forgivable capital; transforms refi economics → Phase 1 LP fully exited with promote. *This is the Investor Package path.*
- **MLI Select Tier 3 (premium):** 4.0% rate, 1.15× DSCR → loan to ~$11.8M, narrows gap to ~$1.2M; requires 30% affordable units + Tier 3 energy + accessibility
- **Phase 2 capital raise at refi:** raise new LP equity at Phase 2 start to take out Phase 1 LP; Phase 2 LP enters at lower valuation, captures appreciation upside

Phase 2 — TPO Long-Term Ownership

Trillium Property Ownership · 20-year hold · 50/50 cash flow split · 30/70 capital gain split

STABILIZED OPERATIONS (YEAR 1)

Gross Rental Income	**$825,000**
Vacancy (5%)	**−$41,250**
Effective Gross Income	**$783,750**
Operating Expenses (~23% EGI)	**−$182,350**
Stabilized NOI	**$601,400**
CMHC Mortgage Payment	**−$501,167**
Net Cash Flow (Year 1)	**$100,233**

PHASE 2 LP TERMS

Phase 2 LP capital raise	**$2,000,000**
Cash-on-cash target	**5% annual**
Cash flow split (LP/GP)	**50% / 50%**
Capital gain split at exit	**30% / 70%**
Phase 2 LP Year 1 distribution	**$50,117**

20-YEAR HOLD PROJECTION

Year 20 NOI (2.5% growth)	**$960,800**
Year 20 Asset Value (4% cap)	**$24,020,000**
Year 20 Mortgage Balance (~70% remaining)	**−$7,076,000**
Year 20 Equity Value	**$16,944,000**
Cumulative distributions (20 yrs)	**$3,000,000**
Total Asset Value to Stack	**$19,944,000**

DISTRIBUTION BY PARTY (20-YEAR)

Phase 1 LP (refi proceeds + holdback)	**~$2,500,000**
Phase 2 LP (50% cash flow + 30% gain)	**~$5,800,000**
GP (Trillium) (50% cash flow + 70% gain + AM fee)	**~$11,644,000**

Trillium 20-year economics: ~$11.6M of GP return on $1M Phase 1 GP capital. Equity multiple ~11.6× on GP capital; ~7.5% blended CAGR. Asset Mgmt fee adds ~$360K/yr × 20 = $7.2M of fee income through the hold.

Risk Analysis

Five key risks with explicit mitigants

RISK 1 — REFI / DSCR SHORTFALL Standard CMHC MLI Select at 4.5% / 1.20× DSCR sizes loan at ~$10.1M; construction loan payoff + VTB exceeds this by ~$0.9M, creating a Phase 1 exit gap.	**MITIGANT** Pursue MLI Select Tier 3 (Premium) → 4.0% rate, 1.15× DSCR lifts loan to ~$11.8M. Stretch goal: BCH 40% forgivable (adds $5.6M of forgivable capital). Confirm at pre-application.
RISK 2 — CONSTRUCTION COST OVERRUN $300/sf is the modeled hard cost; market range $260-$320/sf. Trade pricing has been escalating 4-6% annually; 18-month construction window exposes to mid-cycle cost inflation.	**MITIGANT** 5% contingency built in ($424K); ICI general contractor with fixed-price + price escalation clauses; $500K construction buffer at TPC level for excess overruns.
RISK 3 — VTB COUNTERPARTY (SELLER) Seller Gary Loughlin holds $1M VTB at 2nd charge on land for 24 months. Seller's parallel Muskoka purchase depends on Phase 1 cash arriving same day; counterparty/timing risk.	**MITIGANT** Coordinated same-day closing; seller's reverse mortgage on Muskoka is his independent arrangement; VTB is 2nd charge subordinate to construction lender; inter-creditor agreement defines payoff sequencing.
RISK 4 — ZONING / PERMIT RISK RD zoning; project is 6-storey with 28,261 sf GFA. PAC submitted but not yet approved; City of Toronto may push back on density, height, or parking relief.	**MITIGANT** Office Ou has completed PAC drawings to permit-ready stage; 6-storey rental is generally supportable in this corridor; pre-application consultations indicated positive city reception; backup options if scope reduces.
RISK 5 — RENTAL MARKET SOFTENING Scarborough rents up 4% YoY through 2025 but slowdown signals visible. Modeled rents are mid-market; market correction could reduce stabilized NOI by 10-15%.	**MITIGANT** Conservative rent assumptions used (not above-market); DSCR 1.20× provides cushion; 50-year amortization reduces payment pressure; mixed unit type spreads risk across rental segments.

Long-Term Outlook & Strategic Fit

3-5 year vision · Portfolio strategy · Exit optionality

3-YEAR VIEW (2026 – 2029)

- **Acquisition + construction** through Q1 2029
- **CMHC refinance** at substantial completion + 90% lease-up (Q2-Q3 2029)
- **Phase 1 LP exit** via refi (BCH or Tier 3 strongly preferred)
- **Phase 2 capital raise** at refi event to take out Phase 1 LP holdback if needed
- **Stabilization** + rent burn-off through 2030

5-YEAR VIEW (2026 – 2031)

- Asset stabilized; cash flow distributing 50/50 LP/GP
- Rental growth 3-5% annually drives NOI from ~$601K → ~$735K
- Refi opportunity (rate reset on CMHC) creates recap option at Year 5
- Asset value at 4.5% cap: ~$16.3M; potential equity recap of $2-3M

PORTFOLIO FIT

- Adds 29 stabilized units to Trillium Property Ownership portfolio
- Scarborough East geographic fit; complements existing assets
- Mid-market rent profile aligns with Trillium's positioning

20-YEAR VISION

Year	NOI	Asset Value (4% cap)
2029 (Yr 1)	**$601K**	**$15.0M**
2034 (Yr 5)	**$680K**	**$17.0M**
2039 (Yr 10)	**$770K**	**$19.2M**
2044 (Yr 15)	**$870K**	**$21.7M**
2049 (Yr 20)	**$961K**	**$24.0M**

EXIT OPTIONALITY

- **Yr 5:** Recapitalize at lower CMHC rate; pull out $2-3M of equity
- **Yr 10:** Disposition at 4.0% cap (~$19M) or refi-and-hold
- **Yr 15:** Portfolio recap / institutional sale window
- **Yr 20:** Disposition at exit cap, blended CAGR ~7.5% on GP capital

Strategic position: A long-term hold in Trillium Property Ownership delivers ~$11.6M of GP value over 20 years on $1M of GP capital. The Asset Management fee alone (~$360K/yr × 20 = $7.2M) represents predictable recurring income — important for Trillium's operating cash flow profile.

Timeline & Task Division

Key milestones & ownership by function

TIMELINE — MILESTONES

JUN–JUL 2026	**LOI & legal documentation** PSA, VTB instrument, occupancy license, inter-creditor
AUG 2026	**Land closing + seller occupancy** $1M cash + $1M VTB; coordinated with Muskoka close
AUG 2026 – JUL 2027	**Seller transition + permits** 12-mo occupancy; PAC outcome; permit drawings; building permit
JUL 2027	**Construction loan close + demo + mobilization** Seller vacates; existing dwelling demolished; site mobilization
AUG 2027 – JAN 2029	**Construction (18 months)** 5 draws (20/20/20/20/5) + 10% holdback
Q1 2029	**Substantial completion + lease-up** Certificate issued; rents to 90%+ occupancy
Q2–Q3 2029	**CMHC permanent refinance · Phase 1 LP exit** CMHC/BCH proceeds discharge construction loan + VTB; Phase 2 capital raise if needed

TASK DIVISION

Function	Key Tasks
Finance	Construction loan commitment · VTB docs · CMHC/BCH pre-application · Interest reserve management · Phase 1 LP capital calls
Development	Building permit applications · GC selection · Construction oversight · Cost/budget tracking · QC inspections
Real Estate	Due diligence · Appraisals (as-is, as-complete) · Lease-up strategy · Property management setup · Market rent analysis
Structure	LP/GP entity setup · Subscription docs · Investor onboarding · Waterfall calcs · Distribution scheduling
Deal Mgmt	Stakeholder communication · Timeline tracking · Risk monitoring · Monthly reporting · Issue escalation

IMMEDIATE NEXT STEPS (NEXT 30 DAYS)

- **LOI to seller** via Gary's counsel — present three-option structure (A garage, B all-cash, C cash+equity)
- **CMHC + BCH pre-application call** to validate Tier 3 / BCH eligibility and rate
- **Engage Trillium's deal counsel** for PSA + VTB + inter-creditor drafting
- **Phase 1 LP commitments** — confirm capital availability for Aug 2026 land close
- **Office Ou alignment** on permit drawings + cost engineering options